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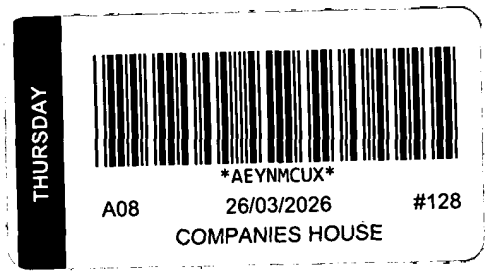
Southampton Football Club Limited

Annual Report and Financial Statements

Year Ended

30 June 2025

Company Number 00053301



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Southampton Football Club Limited

Company Information

Directors	R Ankersen R Boegli P J S Parsons D Solak A T Young
Company secretary	T Greenwell
Registered number	00053301
Registered office	St Mary's Stadium Britannia Road Southampton Hampshire SO14 5FP
Independent auditor	BDO LLP Arcadia House Maritime Walk Ocean Village Southampton SO14 3TL

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Southampton Football Club Limited

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Southampton Football Club Limited

Strategic Report
for the Year Ended 30 June 2025

The principal activity of the company is that of a football club (Southampton Football Club Limited (the "Club")) whose men's team participates in the English Football League Championship ("EFL Championship").

Football Overview

From a sporting perspective, the 2024/25 season was a disappointing one for the first team, which culminated in relegation from the Premier League to the EFL Championship, with the team finishing a disappointing 20th place in the Premier League (2023/24: 4th place finish in EFL Championship and promotion to the Premier League via play-offs).

In the Cup competitions, the first team was knocked out of the EFL Cup by Liverpool in the quarter-finals (2023/24: first round). The Club reached the fourth round of the FA Cup (2023/24: fifth round) before losing to Burnley.

In addition, during the year, the Club parted ways with two first team managers and associated support staff including Russell Martin in December 2024 and his replacement, Ivan Juric, in April 2025 with Simon Rusk taking over as interim first team manager for the remainder of the season.

Prior to the commencement of the 2025/26 season, Will Still was appointed as the Club's first team manager and at the time of writing, due to the difficult start to the season which has seen the Club placed 17th in the league, the Club parted ways with Will Still and some of his support staff. Tonda Eckert, the U21 team's head coach, is currently the interim first team manager. The Club also reached the third round of the EFL Cup before being knocked out by Liverpool for a second successive season.

The U21 team finished in a strong 7th position in the U21 Premier League 2 in the 2024/25 season, eventually qualifying for, but unfortunately losing, the playoff final match against Manchester City to miss out on winning the league (2023/24: 17th place). At the time of writing, the U21 team has made a good start to the 2025/26 Premier League 2 season and is currently 5th out of 29 teams. The U21 team played their first fixture in the Premier League International Cup against the U21 Real Madrid team which drew in an impressive crowd of almost 11,000 to St Mary's. In 2023/24, the U21 team finished 7th place in their group in the Premier League International Cup. The team's start in the group stages of the English National League Cup has been challenging (2023/24: finished 7th in their group).

The U18 team season finished a very reputable 2nd in the U18 Premier League South in 2024/25 season (2023/24: 10th). At the time of writing, the U18 team has enjoyed a good start to the 2025/26 U18 Premier League season and is currently 3rd in the league. They also performed well in the FA Youth Cup during the season reaching the quarter finals, before being knocked out in the quarter finals by Watford (2023/24: 3rd round).

Financial Overview

The club reports a loss before interest and tax of £33.8m (2024: profit of £34.2m). Cumulatively, over the two financial years, this is a total profit before interest and tax of £0.4m. Net liabilities increased from £68.4m to £113.2m with the increase attributable to the operating loss for 2025 in conjunction with overall losses generated from player trading.

A summary of results is given below:

	2025	2024
	£000	£000
Turnover	**157,520**	84,001
Operating costs	**167,535**	123,844
Other operating income before player trading	**-**	1,710
Operating loss before player trading	**(10,015)**	(38,133)
Player trading	**(23,802)**	72,377
Loss on disposal of assets	**-**	(47)
Loss/(profit) before interest and tax	**(33,817)**	34,197

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Financial Overview (continued)

The first team was promoted to the Premier League at the end of the 2023/24 season off the back of a 4th place finish and play-off final win against Leeds United. Disappointingly, the 2024/25 season saw the first team finish in 20th place in the Premier League, which led to relegation back to the EFL Championship for the 2025/26 season.

The results of the financial year ended 30 June 2025 represent the season in which the Club participated in the Premier League and the comparative figures are those of the 2023/24 season in the EFL Championship.

Consequently, as a result of promotion, the Club's turnover increased by £73.5m from £84.0m to £157.5m in the year.

This increase in turnover compared to the 2023/24 season is largely explained by broadcasting revenue, which is significantly higher in the Premier League than the EFL Championship. Consequently, broadcasting revenue increased from £55.9m to £114.7m, an increase of 105.2%. When compared to the 2022/23 Premier League season, broadcasting revenue increased by 6.2% from £108.0m.

Match day revenue increased by 22.4% from £16.1m in the 2023/24 season to £19.7m in 2024/25. Compared to when the Club was competing in the Premier League during the 2022/23 season, match day revenue has increased by 3.1% from £19.1m. 2024/25saw an incredibly successful sold-out season ticket campaign and an increase in revenue across both general admission and hospitality season tickets and match day tickets.

Commercial revenue increased by 110.1% from £9.9m in 2023/24 to £20.8m in 2024/25, with the most significant increase attributable to commercial partnerships, primarily being the amount received from the Club's main sponsor. In comparison, commercial revenue for the 2022/23 season in the Premier League was £15.4m, highlighting a significant increase of 35.1%. The Club is committed to driving commercial revenues in order to mitigate the significant discrepancy between the Premier League and EFL Championship broadcasting revenue. Further information on ongoing commercial revenue projects can be found in the "Infrastructure and People" section of this report.

Other revenue increased marginally from £2.2m to £2.4m. Other revenue largely relates to grants received to support our Category 1 status academy.

Operating loss before player trading has significantly improved by 73.6% from an operating loss of £38.1m in 2023/24 to £10.0m in 2024/25. Further compared to the operating loss before player trading in the 2022/23 Premier League season, this still represents a 59.2% improvement. There are several factors which have contributed to this improvement, primarily being tight cost management – in particular regarding wages – and the investment into our commercial activities.

In 2024/25, the Club has generated a loss before tax of £45.3m with a total loss on player trading of £23.8m contributing to over 52.5% of the total comprehensive loss before tax. The loss on player trading is driven by the player amortisation charge for the year exceeding the profits generated from the sale of players such as Alcaraz, Mara, Lyanco, Caleta-Car. As a result of promotion to the Premier League at the start of the 2024/25 season, significant investment was made into the playing squad with the purchases of Harwood-Bellis, Ramsdale, Downes, Archer, Fernandes, Brereton-Diaz, Sugawara, Kayi Sanda, Wood, Edwards and Juan.

When comparing to the 2023/24 season, when the Club had just been relegated, the focus of player trading was more on profit-generating sales in order to counteract the significant drop in broadcasting revenue from the Premier League to the EFL Championship. This resulted in a comparable total profit on player trading of £74.8m driven by the sales of Diallo Salisu, Livramento, Lavia, Ward-Prowse, Tella, Djenepo and Perraud amongst others, together with contingent transfer receipts in relation to previously transferred players crystallising during the season.

The Club's cash balance at the Statement of Financial Position date was £9.3m (2024: £13.1m). No amounts were paid to the Club's directors or ownership by way of dividends.

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Key Performance Indicators

Due to the nature of the Club's activities, the directors consider the Club's final league position at each season end as its principal key performance indicator.

As well as this, the directors consider further key performance indicators to be:

- the length of the first team playing contracts, with the average length remaining at the Statement of Financial Position date being 28 months (2024: 27 months);
- the all-staff wages to turnover ratio, which decreased year-on-year from 93.5% in 2024 to 72.5% in 2025, with the decrease largely being due to the increase in turnover in 2024/25. Year-on-year player remuneration for the men's first team increased from £58.8m to £83.2m (52.8% of turnover in 2025, 68% in 2024);
- the number of players with international recognition at senior or U21 level. The first team squad had 29 players with such recognition (2024: 23).
- international honours at youth level. 23 players represented their country at international youth level during the 2024/25 season (28 during the 2023/24 season);
- the number of players signed on scholarship agreements. The Club had an average of 19 scholars across the 2024/25 season (23 during the 2023/24 season);
- academy players representing the first team. 10 academy players represented their respective first teams in a competitive fixture during the 2024/25 season (9 during the 2023/24 season).

Infrastructure and People

The Club continued its programme of capital investment at St Mary's Stadium during the year, with several infrastructure projects reaching completion. These included the installation of perimeter fencing and one of the largest safe standing areas in the UK and upgrades to the press deck, each of which had been initiated in the previous financial year.

Additional developments included the conversion of the former ticket office into The Dell, a pub named in tribute to the Club's former home ground, and the construction of the Northam Fan Zone. This new space was designed to enhance the matchday experience and provide a flexible venue for community and private events.

The Club also introduced the Knightwood Lounge, a pitch-facing hospitality suite inspired by the local New Forest area, offering a more contemporary environment for matchday guests and expanding the stadium's non-matchday venue hire capabilities.

At year-end, capital expenditure continued with the redevelopment of the South Stand into a mixed-use entertainment venue. Having just opened in October 2025, LEVEL1 provides a range of leisure activities and contribute to the Club's aim of positioning St Mary's as a year-round destination for fans and the wider community.

These capital investments reflect the Club's commitment to diversifying revenue streams, reducing reliance on broadcasting income, and strengthening the Club's role as a community-focused venue.

The average number of employees during the year was 347 (2024: 342) and the Club ended the season with 353 FTE employees including our players and scholars; the increase to support the wider commercial activities at the stadium.

There were several organisational changes in the 2024/25 season, most notably being the resignation of a board director and the appointment of the group technical director and the managerial changes in respect of the first team.

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Infrastructure and People (continued)

The Club continues to provide active promotion to Saints Foundation, the Club's affiliated charity, and its needs-led work in the community. During this financial year the Club has again provided financial donations to the charity, and in-kind support for the charity through the access to office space, utilities, and staff expertise. Additionally, Saints Foundation has continued to benefit from access to rooms and facilities at St Mary's Stadium which enable the charity to run activity for the community at an inspirational venue.

A real strength this year has been the support of Club staff for Saints Foundation's activities, including staff raising funds through challenge events and providing engaging opportunities for Saints Foundation's beneficiaries through unique experiences at St Mary's Stadium. This contributed to the charity's record year in the delivery of its strategy to support those people most impacted by inequality in Southampton. Through its 15 projects, 6,511 participants were engaged, with a record number of 5.545 achieving a positive outcome, such as increasing school attendance, improved health behaviour changes, reducing offending behaviours, or finding employment or training. The combination of these factors helped the charity to increase its social value in 2024/25, with over £10m of social value delivered for the benefit of the Southampton Community.

Fan engagement statement

At Southampton Football Club, our fans are at the heart of everything we do. We are committed to building a strong, inclusive, and lasting connection with our supporters, ensuring that every voice matters so that every supporter feels valued and able to be consulted in relation to certain key decisions made by the Club. We have a very dedicated and loyal fan base, who follow us passionately at home and away. We want to recognise the invaluable contribution and help protect the Club that they care so deeply about through our commitment to a clear supporter engagement strategy.

Through open communication, regular supporter forums, surveys, and dedicated fan liaison channels, including our own Supporter Relations team, we actively listen to feedback and work together to enhance the matchday experience while deepening the connection between the Club and the communities around us. In partnership with the Saints Foundation, the Club further strengthens this bond through a wide range of diverse programmes and initiatives.

In order to be able to reinvest into football, we need to grow revenue and profits across our commercial areas. To achieve this, we continue to invest in and around the stadium with the introduction of new experiences and facilities such as LEVEL1 and The Dell. These aim to further enhancing the experience that our fans have on matchdays, and other visitors can experience on non-matchdays. In addition to this work the Club is proud to be part of the engagement with the City Council's masterplan for the longer-term redevelopment of Southampton. We see these kinds of initiatives as being a vitally important part of making the Club and Saints Foundation fully sustainable within the city for the long term.

We actively promote accessibility, family-friendly initiatives, and opportunities for fans of all ages and backgrounds to engage with the Club both at St Mary's Stadium and beyond. By supporting local communities and fan groups and investing in grassroots football, and fostering pride in the Saints' identity, we aim to create a culture of belonging where every supporter feels part of the journey. This is evident in our work with Rainbow Saints, and Southampton Pride, Southampton Disabled Supporters Association and our Fan Advisory Board.

The Saints Fan Advisory Board meets with the CEO and other board members every quarter, while the Chair also holds monthly meetings with a board representative to ensure the voice of our fans is consistently heard and represented. The Club is committed to ensuring that the Fan Advisory Board will be consulted on any decision-making that relates to protected, legacy assets such as our stadium, our Club colours and our presence in the city of Southampton. To enable a broad cross-section of our supporters to be directly represented, we have implemented a policy of rotation for the appointments to the Fan Advisory Board and the first set of rotations will occur in the 2025/26 season. Recruitment to the Fan Advisory Board will be completed by the Club and the Fan Advisory Board to ensure a transparent, fair and ongoing equal representation of the different interests that exist across our fanbase.

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Fan engagement statement (continued)

Our fans' passion and loyalty inspire us and the team to perform. We remain dedicated to ensuring the Club is a sustainable football club that supporters are proud to back and that our city can be proud of, on and off the pitch.

Principal risks & uncertainties

Team performance risk
As is common with many professional football clubs, a principal risk is the performance of the men's first team and the league in which it operates. The Club manages the impact of this through close control and detailed forecasting of its direct costs and cash outgoings, relative to forecast revenue and cash incomings.

Liquidity risk
The Club reported a net cash position of £9.3m at the Statement of Financial Position date (2024: £13.1m).

Credit risk
This relates primarily to trade debtors from commercial activities and player trading and the Club monitors this risk closely with the aim of minimising it at all times.

Political risk
The main political risks that are monitored by the Club are around the impact on the price of goods, services and utilities, in part due to the Russia/Ukraine conflict, and the consequently high levels of inflation within the UK, which it manages through close cost control and a detailed tendering and procurement process. The Russia/Ukraine conflict also impacts the Club with regards to potential restrictions on opportunities in the transfer market, which is monitored closely.

Furthermore, the movement of the interest rates within the UK over the course of the year is another risk closely monitored, which the Club manages through detailed forecasting of the net and gross debt requirements, close monitoring of working capital requirements within the Club and maximising its utilisation of interest-bearing accounts.

The directors have concluded, after reviewing the work performed and detailed above, that they can adopt the going concern basis in preparing these financial statements.

This report was approved by the board and signed on its behalf:

DocuSigned by:
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P J S Parsons
Director
Date: 11/26/2025

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Southampton Football Club Limited

Section 172 Statement
for the Year Ended 30 June 2025

Section 172 of the Companies Act 2006 requires directors to take into consideration the interests of stakeholders and other matters in their decision making. The directors continue to have regard to the interests of the Club's employees and other stakeholders, the impact of its activities on the community, the environment and the Club's reputation for good business conduct, when making decisions. In this context, acting in good faith and fairly, the directors consider what is most likely to promote the success of the Club for its members in the long term. We explain in these financial statements, and below, how the Board engages with stakeholders:

- Relations with key stakeholders such as employees, shareholders, customers, the local community and suppliers are considered in more detail within the "Employee Involvement" section of the Directors' Report and the "Infrastructure & People" section of the Strategic Report.

- The directors are fully aware of their responsibilities to promote the success of the Club in accordance with section 172 of the Companies Act 2006 and this is promoted at every Board meeting. As required, the Chief Financial Officer, the Finance Director and the Company Secretary will provide further support to the Board to help ensure that sufficient consideration is given to issues relating to the matters set out in s172(1)(a)-(f).

- The Board regularly reviews the Club's principal stakeholders and how it engages with them. This is achieved through information provided by the executive and senior leadership teams, in particular within fortnightly executive team and leadership team meetings, and also by direct engagement with stakeholders themselves, notably with multiple forums across the year.

- The Board has enhanced its methods of engagement with the workforce and Board updates are provided to all employees at regular intervals. There are regular all-staff in-person meetings, which include question and answer sessions during which the Board provides business, operational and strategic updates to all employees.

- We aim to work responsibly with our stakeholders, including suppliers. The Board has reviewed its anti-corruption and anti-bribery, equal opportunities and whistleblowing policies and regular training is undertaken on such matters.

The key Board decisions made in the year are set out below:

Significant events/decisions	Key s172 matter(s) affected	Actions and impact
Relegation of the Club from the Premier League to the EFL Championship	Employees, customers, fans, suppliers	• Extensive financial modelling and scenario analysis was undertaken from an early stage and discussed with the Board of Directors and ownership group, and any working capital funding requirements were highlighted, including a refinancing of the MSD bank loan, which was undertaken during the year. • Individual and group staff meetings were held to give the opportunity for information to be shared and allow for questions regarding the impact of the relegation. • The Board issued a formal public statement in April 2025 following the confirmed relegation, reaffirming its commitment to long-term planning and transparency.

Southampton Football Club Limited

Section 172 Statement (continued)
for the Year Ended 30 June 2025

Termination of the employment, and recruitment of three first team managers (and associated staff) during the season	Employees, customers, fans	• During the season the Club terminated the employment of Russell Martin and supporting staff as members of the men's first team coaching staff before replacing them with Ivan Juric and his coaching team. Their employment was subsequently terminated, and Will Still was hired as a replacement, together with Paul Trollope, Ruben Martinez and Clement Lemaitre. Adam Lallana retired as a professional player position and has stayed on as a first team coach in Will Still's coaching team. • Internal communications were issued to employees prior to the news of each termination and replacement hire being released externally, at which point formal statements were posted on the Club's official website announcing the news.
Significant investment in the infrastructure in and around St Mary's Stadium	Employees, customers, fans & suppliers	• During the season, possible transformative projects were planned and executed, widely improving the experience of all individuals who visit or work at St Mary's Stadium. • Cost and value projections were gathered and presented to the Executive Board. • A Fan Engagement Plan was set up by the Executive Board, evolving the current Saints Voice (a fan-appointed panel who regularly meet with the Club staff to discuss the supporter experience) and creating more opportunity for direct fan engagement with the Club. • Open engagement with Southampton City Council regarding ongoing works at the stadium. • Capital expenditure and improvement works were finalised including the Dell pub, the Northam Fan Zone, the Knightwood Lounge as well as the ongoing redevelopment of the South Stand into the LEVEL1entertainment zone. • The Club's website and social media platforms heavily promoted the ongoing capital and commercial projects around the Stadium.
Changes at the Executive Board level	Employees, fans	• In January 2025, the Club announced Henrik Kraft would step down as his position of as a director on the board. Henrik remains involved as a shareholder and continues to serve on the board of the Club's ultimate parent company, Sport Republic Holding Limited. • The appointment of Johannes Spors, the group technical director, in February 2025. Johannes works closely with Mark Bitcon, the director of football operations. Johannes is responsible for overseeing football strategy, player development and recruitment across the Club and the Ultimate Group's wider footballing network.

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Southampton Football Club Limited

Directors' Report
for the Year Ended 30 June 2025

The directors present their report and the financial statements for the year ended 30 June 2025.

Results and dividends

The loss for the year, after taxation, amounted to £44.8m (2024: profit of £13.7m).

No dividend (2024: £Nil) is proposed.

Employment of disabled persons

The Club ensures that all full and part time employees, and job applicants (actual or potential), are treated fairly in accordance with group policies and values. Selection for employment, promotion, training or any other benefit is assessed objectively against the requirements for each job role, taking account of any reasonable adjustments that may be required for those with disabilities.

Employee involvement

The Club holds regular executive team, senior leadership team and department meetings to ensure a flow of information across all levels. Alongside this are a number of company-wide communication channels, most notably monthly all-staff meetings and our intranet, Team Talk Live. Company Handbooks, Game Plan Performance and Development Reviews and strategic email communication supplement these.

The Club continues to put in place measures directly aimed at promoting the health and wellbeing of employees, including the continuation and promotion of an Employee Assistance programme.

Finally, the Club continues to encourage all staff members to present their suggestions and views at all levels on the Club's performance, encouraging creativity for improvement through feedback forums.

Directors

The directors who served during the year were:

R Ankersen
R Boegli
H J Kraft (resigned 1 February 2025)
P J S Parsons
D Solak
A T Young

Qualifying third party indemnity provisions

The Company has made qualifying third party indemnity provisions for the benefit of its Directors which were made during the year and remain in force at the date of this report.

Future developments

No significant change in the principal activities of the Club is expected in the foreseeable future.

Charitable donations

During the year the Company made charitable donations totalling £89,000 (2024: £257,000).

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Environmental matters and energy and carbon reporting

The Club has taken the available exemption to not disclose a separate energy and carbon report in these financial statements as it is included in the financial statements of its indirect parent company, Sport Republic Holding Limited.

The Club is committed to sustainability and since the year end, have announced an Official Sustainability Partner with the newest initiative seeing 452 solar panels installed on the roof of the Pavilion and gym at the Staplewood Training Campus. This will generate around 20% of the Pavilion's annual electricity consumption and deliver long-term energy security whilst reducing the Club's carbon footprint.

Disclosure of information to auditors

Each of the persons who are directors at the time when this Directors' Report is approved has confirmed that:

- so far as the directors are aware, there is no relevant audit information of which the Company's auditors are unaware; and
- the directors have taken all the steps that ought to have been taken as directors in order to be aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

Post Statement of Financial Position events

A full description of the events after the Statement of Financial Position date is stated in note 30.

Auditors

The auditors, BDO LLP, will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

This report was approved by the board and signed on its behalf:

DocuSigned by:
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P J S Parsons
Director
Date: 11/26/2025

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Southampton Football Club Limited

Directors' Responsibilities Statement for the Year Ended 30 June 2025

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Accounting Standards and applicable law. Under Company law the directors must not approve the financial statements unless they are satisfied that they a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies for the Company's financial statements and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

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Southampton Football Club Limited

Independent Auditors' Report to the members of Southampton Football Club Limited

Opinion on the financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 30 June 2025 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of Southampton Football Club Limited ("the Company") for the year ended 30 June 2025 which comprise the Statement of Comprehensive Income, the Statement of Financial Position, the Statement of Changes in Equity and Notes to the Financial Statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Material uncertainty related to going concern

We draw attention to note 2.3 to the financial statements, which indicates that the Company is reliant on financial support provided by the group headed by its parent company St Mary's Football Club Limited ("the Group").

Within the Group's forecasts there is a funding requirement from the Group's shareholders. However, there is no legally binding agreement for further funding in place at the date of approval of the financial statements. As stated in note 2.3, these events or conditions, along with other matters as set forth in note 2.3, indicate that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern. The financial statements do not include any adjustments that would result if the Company were unable to continue as a going concern. Our opinion is not modified in respect of this matter.

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

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Other information

The Directors are responsible for the other information. The other information comprises the information included in the Annual Report and Financial Statements, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and the Directors' Report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report or the Directors' Report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors

As explained more fully in the Directors' Responsibilities Statement, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

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Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Extent to which the audit was capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

Non-compliance with laws and regulations

Based on:

- Our understanding of the Company and the industry in which it operates;
- Discussion with management and those charged with governance; and
- Obtaining an understanding of the Company's policies and procedures regarding compliance with laws and regulations.

We considered the significant laws and regulations to be the applicable accounting framework and UK tax legislation.

The Company is also subject to laws and regulations where the consequence of non-compliance could have a material effect on the amount or disclosures in the financial statements, for example through the imposition of fines or litigations. We identified such laws and regulations to be Companies Act 2006, Premier League's Profit & Sustainability Rules (PSR), Corporate and VAT legislation, Employment Taxes, Health and Safety legislation and the Bribery Act 2010.

Our procedures in respect of the above included:

- Review of minutes of meetings of those charged with governance for any instances of non-compliance with laws and regulations;
- Review of correspondence with tax authorities for any instances of non-compliance with laws and regulations; and
- Review of financial statement disclosures and agreeing to supporting documentation.

Fraud

We assessed the susceptibility of the financial statements to material misstatement, including fraud. Our risk assessment procedures included:

- Enquiry with management and those charged with governance regarding any known or suspected instances of fraud;
- Obtaining an understanding of the Company's policies and procedures relating to:
    - Detecting and responding to the risks of fraud; and
    - Internal controls established to mitigate risks related to fraud.
- Discussion amongst the engagement team as to how and where fraud might occur in the financial statements;

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Auditor's responsibilities for the audit of the financial statements (continued)

Fraud (continued)

Based on our risk assessment, we considered the areas most susceptible to fraud to be revenue recognition and management override of controls.

Our procedures in respect of the above included:

- Testing a sample of journal entries throughout the year, which met a defined risk criteria, by agreeing to supporting documentation; and
- Reviewing and assessing the appropriateness of management estimates and exercising professional scepticism in considering the impact of those estimates in the financial statements.

We also communicated relevant identified laws and regulations and potential fraud risks to all engagement team members who were all deemed to have appropriate competence and capabilities and remained alert to any indications of fraud or non-compliance with laws and regulations throughout the audit.

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

DocuSigned by:
Steve Le Bas
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Stephen Le Bas (Senior Statutory Auditor)
For and on behalf of BDO LLP, Statutory Auditor
Southampton, UK

26 November 2025

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

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Southampton Football Club Limited

Statement of Comprehensive Income for the Year Ended 30 June 2025

	Note	Operations excluding player trading 2025 £000	Player trading* 2025 £000	Total 2025 £000	Total 2024 £000
Turnover	4	**157,520**	-	**157,520**	84,001
Cost of sales		**(148,984)**	**(52,104)**	**(201,088)**	(158,871)
Gross loss		**8,536**	**(52,104)**	**(43,568)**	(74,870)
Administrative expenses		**(18,551)**	**(135)**	**(18,686)**	(16,115)
Other operating income	5	-	-	-	2,193
Operating loss	6	**(10,015)**	**(52,239)**	**(62,254)**	(88,792)
Loss on disposal of assets		-	-	-	(47)
Profit on disposal of players		-	**28,437**	**28,437**	123,036
(Loss)/profit on ordinary activities before interest		**(10,015)**	**(23,802)**	**(33,817)**	34,197
Interest receivable and similar income	9	**1,308**	-	**1,308**	3,063
Interest payable and similar charges	10	**(12,782)**	-	**(12,782)**	(13,169)
(Loss)/profit on ordinary activities before taxation		**(21,489)**	**(23,802)**	**(45,291)**	24,091
Tax on (loss)/profit	11	**498**	-	**498**	(10,398)
(Loss)/profit and total comprehensive (loss)/profit for the year		**(20,991)**	**(23,802)**	**(44,793)**	13,693

**Player trading represents the amortisation, loan fees payable, exceptional impairment, foreign exchange on player purchases and the profit or loss on disposal of player registrations*

The notes on page 20 to 40 form part of these financial statements.

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Southampton Football Club Limited

Registered number: 00053301

Statement of Financial Position
as at 30 June 2025

	Note	2025 £000	2025 £000	2024 £000	2024 £000
Fixed assets					
Intangible assets	12		**117,372**		95,992
Tangible assets	13		**23,352**		18,228
Investments	14		**-**		-
			140,724		114,220
Current assets					
Stocks	15	**431**		144	
Debtors: amounts falling due within one year	16	**22,577**		33,667	
Debtors: amounts falling due after more than one year	16	**2,870**		4,641	
Cash at bank and in hand		**9,347**		13,128	
		35,225		51,580	
Creditors: amounts falling due within one year	17	**(241,977)**		(203,394)	
Net current liabilities			**(206,752)**		(151,814)
Total assets less current liabilities			**(66,028)**		(37,594)
Creditors: amounts falling due after more than one year	18		**(45,490)**		(26,981)
Provisions for liabilities					
Other provisions	20		**(1,648)**		(3,798)
Net liabilities			**(113,166)**		(68,373)
Capital and reserves					
Share capital	22		**501**		501
Capital contribution reserve	23		**29,767**		29,767
Profit and loss account	23		**(143,434)**		(98,641)
Liabilities attributable to the owner of the parent Company			**(113,166)**		(68,373)

The financial statements were approved and authorised for issue by the board and were signed on its behalf:

DocuSigned by:
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P J S Parsons
Director
Date: 11/26/2025

The notes on pages 20 to 40 form part of these financial statements.

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Southampton Football Club Limited

Statement of Changes in Equity for the Year Ended 30 June 2025

	Share capital £000	Capital contribution reserve £000	Profit and loss account £000	Total equity £000
At 1 July 2023	501	29,767	(112,334)	(82,066)
Comprehensive profit for the year				
Profit for the year	-	-	13,693	13,693
At 30 June 2024	**501**	**29,767**	**(98,641)**	**(68,373)**
Comprehensive loss for the year				
Loss for the year	-	-	(44,793)	(44,793)
At 30 June 2025	**501**	**29,767**	**(143,434)**	**(113,166)**

The notes on pages 20 to 40 form part of these financial statements.

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Southampton Football Club Limited

Notes to the Financial Statements
for the Year Ended 30 June 2025

1. General information

Southampton Football Club Limited is a private company, limited by shares, incorporated in England & Wales under the Companies Act 2006. The address of the registered office is given on the Company Information page and the nature of the Company's operations and its principal activity is disclosed in the Strategic report.

2. Accounting policies

2.1 Basis of preparation of financial statements

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgement in applying the Company's accounting policies (see note 3).

The following principal accounting policies have been applied:

2.2 Financial reporting standard 102 - reduced disclosure exemptions

The Company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 4 Statement of Financial Position paragraph 4.12(a)(iv);
- the requirements of Section 7 Statement of Cash Flows;
- the requirements of Section 3 Financial Statement Presentation paragraph 3.17(d);
- the requirements of Section 11 Financial Instruments paragraphs 11.41 to 11.48(c);
- the requirements of Section 12 Other Financial Instruments paragraphs 12.26 to 12.29A; and
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the consolidated financial statements of St Mary's Football Group Limited, as at 30 June 2025, and these financial statements may be obtained from Companies House, Crown Way, Cardiff, CF14 3UZ.

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2.3 *Going concern*

These financial statements are prepared on a going concern basis. The directors have a reasonable expectation that the Club will continue in operational existence for the foreseeable future. The directors are aware of certain uncertainties which could cause doubt on the Club's ability to continue as a going concern if they were to arise and remain unremedied.

For the year ended 30 June 2025, the company made a loss after tax of £44,793,000 and has net current liabilities of £206,752,000 and net liabilities of £113,166,000.

In assessing the appropriateness of the going concern assumption, the directors have produced detailed cash flow forecasts which extend to no less than November 2026. The Club's forecasts take into consideration various scenarios, including the risk of the Club staying in the EFL Championship for another season.

In the event that the Club is not promoted to the Premier League, the Club will incur a further reduction in turnover as the amount of parachute payments received will reduce in accordance with Premier League regulations for season 2026/27. The Club will be required to take steps to reduce costs and borrowings to a more sustainable level. In this scenario, the Club would expect a reduction in wages and salaries, which will be largely achieved by contractual means existing in player and employee contracts and player sales or loans.

The Club has forecast a net inflow of cash from player trading over the period of assessment. In such a case, to support the Club's obligations, the directors will consider and utilise financing options available, including but not limited to, player receivable financing.

In the event that the Club's financial performance varies or is less than that modelled, the directors are satisfied that sufficient funds can be generated or otherwise obtained by the Club, if this was absolutely necessary.

During previous transfer windows, the Club have realised significant value from the sale of players, which has helped in the past to reduce the forecasted cashflow deficit and is a lever the Club can pull if necessary to remedy any cash flow shortfalls. Some of the cash flows from these sales, purchases and loan deals are immediate and some are deferred, as is customary in football player transactions. The current football transfer market remains strong and the Club believes that future potential player trading consistent with forecasts is reasonably achievable. The underlying models contain key judgments about future player trading, which are subject to a significant degree of uncertainty, along with other variables.

The Club benefits from the support of the majority shareholder of its parent undertaking and the directors have received a letter of support from Mr Solak expressing his intention to continue to provide such support. Management forecasts do not indicate the need for future funding from Mr Solak during the going concern review period.

In light of this financial support, and the directors own considerations with regard to the availability of such support, the directors have not identified a material uncertainty that may cast significant doubt over the Club's ability to continue as a going concern for the foreseeable future.

Under all of these reasonable foreseeable scenarios, based on the cashflow forecast, the expectations of player trading and the availability of funding, as required, the directors are satisfied that the Club will have sufficient resources available to be able to meet its liabilities as they fall due and have concluded that it is appropriate for the financial statements to be prepared on a going concern basis.

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2. Accounting policies (continued)

2.4 Turnover

Turnover represents the total amount receivable from the principal activities of the Company, excluding transfer fees receivable, and is stated net of value added tax. The fixed element of broadcasting turnover is recognised as games are performed over the length of the football season, whilst facility fees for live coverage or highlights are recognised as and when the point of broadcast occurs. Merit payments are accounted for once known at the end of the relevant competition to which they relate and accrued if not received by the end of the financial year. Match day turnover and those elements of commercial activities relating to matches are recognised when related matches are played; turnover from advance ticket sales is deferred accordingly. Other commercial turnover is recognised on a receivable basis once the contracted events have taken place. Other revenue is recognised in the period to which it relates to.

2.5 Intangible assets

Player registrations

The element of each player's transfer fee which relates to his registration is capitalised as an intangible asset and amortised over the period of his contract including any agreed extensions, subject to any provision for impairment. Where there are deferred payment terms and no interest is charged, the future cash flows are discounted to their present value at the date of the transition using the prevailing market rate for such instruments. Contingent fees payable, which are dependent upon factors such as the number of first team appearances and international debuts being made, are capitalised in the year when it is considered probable that the conditions of the transfer agreement will be satisfied.

The Company does not consider it to be possible to determine value in use of an individual player in isolation as that player cannot generate cash flows on his own. As such, the Company considers the smallest cash-generating unit to contain all of the first team players, the stadium and the training facilities.

However, management may consider that an individual player is highly unlikely to play for the first team again, either due to serious injury or other circumstances outside the Club's control, and therefore will not contribute to the future cash flows earned by the cash generating unit. In these instances, the Company compares the carrying value of the asset to its recoverable amount. To the extent that the carrying value exceeds the recoverable amount, the asset is impaired and the impairment loss is recognised in the Statement of Comprehensive Income.

Video and audiovisual material

In the research phase of such an internal project it is not possible to demonstrate that the project will generate future economic benefits and hence all expenditure on research is recognised as an expense when it is incurred. Intangible assets are recognised from the development phase of a project if and only if certain specific criteria are met in order to demonstrate the asset will generate probable future economic benefits and that its cost can be reliably measured. The capitalised video and audiovisual material costs are subsequently amortised to 'administrative expenses' on a straight line basis over their expected useful economic lives, which range from 1 to 5 years. Amortisation begins when the intangible asset is available for use, ie when it is in the location and condition necessary for it to be usable in the manner intended by management.

The expected useful economic life of video and audiovisual material costs are estimated based on business plans which set out the development plan and time to market for the associated project.

If it is not possible to distinguish between the research phase and the development phase of an internal project the expenditure is treated as if it were all incurred in the research phase only.

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2. Accounting policies (continued)

2.6 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

The Company adds to the carrying amount of an item of fixed assets the cost of replacing part of such an item when that cost is incurred, if the replacement part is expected to provide incremental future benefits to the Company. The carrying amount of the replaced part is derecognised. Repairs and maintenance are charged to the Statement of Comprehensive Income during the period in which they are incurred.

Depreciation is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

The estimated useful lives are as follows:

Motor vehicles	-	between 4 and 5 years
Fixtures, fittings and equipment	-	between 4 and 10 years
Stadium	-	between 5 and 50 years

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised within "administrative expenses" in the Statement of Comprehensive Income.

2.7 Stocks

Stocks are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Cost is based on the cost of purchase on a first in, first out basis. Work in progress and finished goods include labour and attributable overheads.

At each reporting date, stocks are assessed for impairment. If stock is impaired, the carrying amount is reduced to its selling price less costs to complete and sell. The impairment loss is recognised immediately in the Statement of Comprehensive Income.

2.8 Debtors

Short term debtors are measured at transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment.

2.9 Cash

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours.

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2. Accounting policies (continued)

2.10 Financial instruments

The Company only enters into basic financial instruments transactions that result in the recognition of financial assets and liabilities, for example trade and other debtors and creditors, loans from banks and other third parties, loans to related parties and investments in non-puttable ordinary shares.

Debt instruments (other than those wholly repayable or receivable within one year), including loans and other accounts receivable and payable, are initially measured at present value of the future cash flows and subsequently at amortised cost using the effective interest method. Debt instruments that are payable or receivable within one year, typically trade debtors and creditors, are measured, initially and subsequently, at the undiscounted amount of the cash or other consideration expected to be paid or received. However, if the arrangements of a short-term instrument constitute a financing transaction, for example the payment of a trade debt deferred beyond normal business terms or financed at a rate of interest that is not a market rate or in case of an out-right short-term loan not at market rate, the financial asset or liability is measured, initially, at the present value of the future cash flow discounted at a market rate of interest for a similar debt instrument and subsequently at amortised cost.

Financial assets that are measured at cost and amortised cost are assessed at the end of each reporting period for objective evidence of impairment. If objective evidence of impairment is found, an impairment loss is recognised in the Statement of Comprehensive Income.

For financial assets measured at amortised cost, the impairment loss is measured as the difference between an asset's carrying amount and the present value of estimated cash flows discounted at the asset's original effective interest rate. If a financial asset has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract.

For financial assets measured at cost less impairment, the impairment loss is measured as the difference between an asset's carrying amount and best estimate of the recoverable amount, which is an approximation of the amount that the Club would receive for the asset if it were to be sold at the reporting date.

Financial assets and liabilities are offset and the net amount reported in the Statement of Financial Position when there is an enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

2.11 Creditors

Short term creditors are measured at the transaction price. Other financial liabilities, including bank loans, are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method.

2.12 Foreign currency translation

Functional and presentation currency

The Company's functional and presentational currency is pound sterling.

Transactions and balances

Foreign currency transactions are translated into the functional currency using the spot exchange rates at the dates of the transactions.

At the Statement of Financial Position date foreign currency monetary items are translated using the closing rate.

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2. Accounting policies (continued)

2.13 Finance costs

Finance costs are charged to the Statement of Comprehensive Income over the term of the debt using the effective interest method so that the amount charged is at a constant rate on the carrying amount. Issue costs are initially recognised as a reduction in the proceeds of the associated capital instrument.

2.14 Leased assets

Where assets are financed by leasing agreements that give rights approximating to ownership (finance leases), the assets are treated as if they had been purchased outright. The amount capitalised is the present value of the minimum lease payments payable over the term of the lease. The corresponding leasing commitments are shown as amounts payable to the lessor. Depreciation on the relevant assets is charged to profit or loss over the shorter of estimated useful economic life and the term of the lease.

Lease payments are analysed between capital and interest components so that the interest element of the payment is charged to profit or loss over the term of the lease and is calculated so that it represents a constant proportion of the balance of capital repayments outstanding. The capital element reduces the amounts payable to the lessor.

All other leases are treated as operating leases. Their annual rentals are charged to the Statement of Comprehensive Income on a straight-line basis over the term of the lease.

2.15 Pensions

The Company is one of a number of employers in a shared defined benefit scheme for former staff. The Company recognises a liability for the present value of future contributions to the scheme's deficit.

Contributions payable by the Company to employees' (including employed executive directors) personal pension schemes are charged to the Statement of Comprehensive Income in the year to which they relate. The schemes are defined contribution schemes, the assets of which are held separately from the Company.

2.16 Government grants

Grants are accounted for under the accruals model, as permitted by FRS 102.

Grants of a turnover nature are recognised in the Statement of Comprehensive Income in the same period as the related expenditure.

2.17 Interest income

Interest income is recognised in the Statement of Comprehensive Income using the effective interest method.

2.18 Borrowing costs

All borrowing costs are recognised in the Statement of Comprehensive Income in the year in which they are incurred.

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2. Accounting policies (continued)

2.19 Provisions for liabilities

Provisions are made where an event has taken place that gives the Company a legal or constructive obligation that probably requires settlement by a transfer of economic benefit, and a reliable estimate can be made of the amount of the obligation.

Provisions are charged as an expense to the Statement of Comprehensive Income in the year that the Company becomes aware of the obligation, and are measured at the best estimate at the Statement of Financial Position date of the expenditure required to settle the obligation, taking into account relevant risks and uncertainties.

When payments are eventually made, they are charged to the provision carried in the Statement of Financial Position.

2.20 Current and deferred taxation

The tax expense for the year comprises current and deferred tax. Tax is recognised in the Statement of Comprehensive Income, except that a charge attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the Company operates and generates income.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the Statement of Financial Position date, except that:

- the recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits;
- any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

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3. Judgements in applying accounting policies and key sources of estimation uncertainty

In preparing these financial statements, the directors have made the following key judgements and estimates:

- determined which players are included within the first team squad for cash generating unit purposes. The assessment is based on whether players are considered to be within the first team squad and available for selection as at the Statement of Financial Position date. Factors taken into consideration are whether the player has sustained any long term, career threatening injury or is highly unlikely to play for the first team again and is held only for sale;
- where players are considered to be outside of the first team squad for cash generating unit purposes, determined the net realisable value of the player registration. This is based on an agreed selling price in the event that the player has been transferred subsequent to the Statement of Financial Position date or, if there has been no such transfer, management's best estimate of the disposal proceeds (less associated costs) based on recent player transactions;
- if a player is considered to be outside of the first team squad and highly unlikely to play for the first team again, determined whether the contract is onerous and any associated provision required as a result of obligations at the Statement of Financial Position date. Such onerous contract provisions are estimated based on the unavoidable cost (least net cost) of exiting the contract (see note 20);
- determined whether contingent liabilities exist in relation to contingent transfer fees payable (see note 20);
- assessed whether it is probable that the conditions in respect of the contingent transfer fees payable will be met based on experience and the circumstances of the player concerned.

4. Turnover

An analysis of turnover by class of business is as follows:

	2025	2024
	£000	£000
Broadcasting	**114,688**	55,874
Commercial	**20,777**	9,850
Match day	**19,666**	16,085
Other	**2,389**	2,192
	157,520	84,001

Materially all turnover arose within the United Kingdom.

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5. Other operating income

Items included within other operating income are as follows:

	2025 £000	2024 £000
Compensation payments from third parties	-	1,710
	-	1,710

6. Operating loss

The operating loss is stated after charging:

	2025 £000	2024 £000
Stock recognised as an expense	**1,912**	1,771
Depreciation of tangible fixed assets	**3,336**	3,006
Foreign exchange losses	**135**	-
Amortisation of intangible assets	**52,759**	51,142
Impairment of intangible assets	**889**	-
Other operating lease rentals	**153**	182
Defined contribution pension cost	**611**	806

The operating loss is stated after crediting:

Amortisation of grants	**93**	93
Foreign exchange gains	**-**	483

The auditor was remunerated by the Club on behalf of the Group of which the Club is a member. The total remuneration for the Group amounted to £58,300 (2024: £78,000).

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7. Employees

Staff costs, including directors' remuneration, were as follows:

	2025 £000	2024 £000
Wages and salaries	99,233	69,019
Social security costs	14,113	9,189
Cost of defined contribution pension scheme	611	806
	113,957	79,014

The average monthly number of employees, including the directors, during the year was as follows:

	2025 No.	2024 No.
Administrative	119	119
Football	228	223
	347	342

In addition the Company employs approximately 192 temporary staff on match days (2024: 240).

8. Directors' remuneration

	2025 £000	2024 £000
Directors' emoluments	2,319	1,967
Company contributions to defined contribution pension schemes	66	27
Amounts paid to third parties in respect of Directors services	30	30
Total	2,415	2,024

The average number of directors serving during the year was 6 (2024: 6).

There was 1 director in the Company's defined contribution pension scheme during the year (2024: 2). The total amount payable to the highest paid director in respect of emoluments was £1,072,000 (2024: £1,281,000). Company pension contributions of £Nil (2024: £Nil) were made to a money purchase scheme on their behalf.

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9. Interest receivable and similar income

	2025 £000	2024 £000
Bank interest receivable	848	910
Imputed interest charge on transfer fees receivable	460	2,153
	1,308	3,063

10. Interest payable and similar charges

	2025 £000	2024 £000
Imputed interest charge on transfer fees payable	9,417	6,706
Interest payable on transfer fees	3,230	6,414
Hire purchase interest payable	115	49
Other interest payable	20	-
	12,782	13,169

11. Taxation

	2025 £000	2024 £000
Current tax		
Adjustment in respect of previous periods	-	-
Total current tax charge	-	-
Deferred tax		
Origination and reversal of timing differences	(90)	9,975
Adjustment in respect of previous periods	(408)	423
Total deferred tax (credit)/charge	(498)	10,398
Total tax (credit)/charge	(498)	10,398

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11. Taxation (continued)

Factors affecting tax (credit)/charge for the year

The tax assessed for the year is higher than (2024: higher than) the standard rate of corporation tax in the UK of 25.00% (2024: 25.00%). The differences are explained below:

	2025 £000	2024 £000
(Loss)/profit on ordinary activities before tax	**(45,291)**	24,091
(Loss)/profit on ordinary activities multiplied by the standard rate of corporation tax in the UK of 25.00% (2024: 25.00%)	**(11,323)**	6,023
Effects of:		
Fixed asset differences	**185**	34
Expenses not deductible for tax purposes	**676**	862
Income not taxable for tax purposes	**(23)**	(23)
Losses carried back	**689**	-
Group relief claimed	**-**	(4,350)
Adjustments to tax charge in respect of prior periods	**(407)**	423
Movement in deferred tax not recognised	**9,506**	7,429
Interest restrictions	**199**	-
Total tax (credit)/charge for the year	**(498)**	10,398

At 30 June 2025, the Company had estimated taxable losses amounting to £161,946,000 (2024: £129,288,000) available for utilisation against future taxable profits. At 30 June 2025 the Company had an unrecognised deferred tax asset of £40,486,000 (2024: £32,322,000) in relation to these losses due to the uncertainty as to when these losses may reverse.

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12. Intangible assets

	Player registrations £000	Video and audiovisual material £000	Total £000
Cost			
At 1 July 2024	182,817	-	182,817
Additions	90,450	889	91,339
Disposals	(48,247)	-	(48,247)
Impairment	-	(889)	(889)
At 30 June 2025	**225,020**	**-**	**225,020**
Amortisation			
At 1 July 2024	86,825	-	86,825
Charge for the year	52,759	-	52,759
On disposals	(31,936)	-	(31,936)
At 30 June 2025	**107,648**	**-**	**107,648**
Net book value			
At 30 June 2025	**117,372**	**-**	**117,372**
At 30 June 2024	95,992	-	95,992

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13. Tangible fixed assets

	Stadium £000	Fixtures, fittings and vehicles £000	Assets in course of construction £000	Total £000
Cost or valuation				
At 1 July 2024	7,701	21,820	2,678	32,199
Additions	18	3,469	4,974	8,461
Disposals	-	(2,849)	-	(2,849)
Transfers	-	3,266	(3,266)	-
At 30 June 2025	**7,719**	**25,706**	**4,386**	**37,811**
Depreciation				
At 1 July 2024	688	12,485	798	13,971
Charge for the year	138	3,198	-	3,336
Disposals	-	(2,848)	-	(2,848)
At 30 June 2025	**826**	**12,835**	**798**	**14,459**
Net book value				
At 30 June 2025	**6,893**	**12,871**	**3,588**	**23,352**
At 30 June 2024	7,013	9,335	1,880	18,228

The net book value of tangible fixed assets includes an amount of £1,537,000 (2024: £1,533,000) in respect of assets held under finance leases and hire purchase contracts. The related depreciation charge on these assets for the year was £374,000 (2024: £150,000).

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14. Fixed asset investments

Subsidiary undertakings

Subsidiary companies which are directly held by the Company are as follows:

Name of company	Country of incorporation	Class of shares	Holding	Nature of business
[1] St Mary's Training Ground Limited	UK	Ordinary	100 %	Trading
[1] Southampton Girls and Women's Football Club Limited	UK	Ordinary	100 %	Trading
[1] St Mary's Catering Limited	UK	Ordinary	100 %	Dormant
[1] St Mary's Stadium Limited	UK	Ordinary	100 %	Dormant

[1] The registered office of the above companies is St Mary's Stadium, Britannia Road, Southampton, SO14 5FP.

15. Stocks

	2025 £000	2024 £000
Goods for resale	**431**	144

The difference between purchase price or production cost of stocks and their replacement cost is not material.

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16. Debtors

	2025 £000	2024 £000
Due within one year:		
Trade debtors	**3,694**	2,976
Amounts owed by group undertakings	**6,308**	7,601
Other debtors	**2,983**	5,278
Prepayments and accrued income	**4,657**	4,283
Corporation tax	**56**	56
Transfer fees receivable	**4,879**	13,473
	22,577	33,667
Due after more than one year:		
Transfer fees receivable	**1,363**	3,632
Deferred tax asset (note 21)	**1,507**	1,009
	2,870	4,641

17. Creditors: amounts falling due within one year

	2025 £000	2024 £000
Trade creditors	**6,489**	3,945
Amounts owed to group undertakings	**150,567**	122,531
Taxation and social security	**5,395**	4,037
Obligations under finance lease and hire purchase contracts	**476**	337
Transfer fees payable	**57,018**	44,916
Other creditors	**599**	355
Accruals and deferred income	**21,433**	27,273
	241,977	203,394

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18. Creditors: amounts falling due after more than one year

	2025 £000	2024 £000
Obligations under finance lease and hire purchase contracts	**795**	1,023
Transfer fees payable	**42,353**	23,348
Accruals and deferred income	**2,342**	2,610
	45,490	26,981

Football Trust grants of £2,342,000 (2024: £2,436,000) are classified as accruals and deferred income within creditors falling due after more than one year, with £93,000 (2024: £93,000) falling due within one year, being the amortisation that will be credited in the next accounting period.

19. Hire purchase and finance leases

Minimum lease payments under hire purchase fall due as follows:

	2025 £000	2024 £000
Within 1 year	**476**	337
Between 2 to 5 years	**795**	1,023
	1,271	1,360

Obligations under finance leases and hire purchase contracts are secured upon the assets to which they relate.

20. Provisions for liabilities

	Contingent transfer fees £000	Provision for other costs £000	Total £000
At 1 July 2024	3,417	381	3,798
Arising in the year	2,665	1,648	4,313
Utilised in the year	(6,082)	(381)	(6,463)
At 30 June 2025	**-**	**1,648**	**1,648**

The provision for other costs relates to the contractual wage obligations on employees that have since left the Club.

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21. Deferred taxation

	Deferred tax £000
Deferred tax asset at 1 July 2024	1,009
Credited to Statement of Comprehensive Income	498
Deferred tax asset at 30 June 2025	**1,507**

The deferred tax asset is made up as follows:

	2025 £000	2024 £000
Short term timing differences	-	22
Gains rolled over into intangible assets	(625)	(1,344)
Decelerated capital allowances	2,132	2,331
	1,507	1,009

22. Share capital

	2025 £000	2024 £000
Allotted, called up and fully paid		
501,000 Ordinary shares of £1 each	501	501

23. Reserves

The Company's capital and reserves are as follows:

Share capital

Called up share capital represents the nominal value of the shares issued.

Capital contribution reserve

During a previous year, capital contributions arose from the receipt of loan waivers from the parent company and a shareholder of a parent company respectively. In addition, a further capital contribution was recognised as a consequence of the transfer of the trade and assets of St Mary's Catering Limited and St Mary's Stadium Limited from St Mary's Football Group Limited to the Company on 1 July 2019.

Retained losses

Retained losses represent cumulative profits or losses, net of any dividends paid and other adjustments.

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24. Pensions

The Club participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Club is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme.

The last actuarial valuation was carried out at 31 August 2023 where the total deficit on the on-going valuation basis was £20.6 million. The accrual of benefits ceased within the Scheme on 31 August 1999, therefore there are no contributions relating to current accrual. The Club pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme. The results of the 2023 valuation were rolled forward to 30 June 2025 on the same assumptions as detailed above, and the Club's notional share of the deficit was £159,000 (£270,000 as at 30 June 2024). As at 30 June 2025, the Club was paying total contributions of £12,000 per month (increasing by 5% p.a. on 1 September each year) and based on the actuarial valuation assumptions detailed above will be sufficient to pay off the deficit by 31 October 2026.

As at 30 June 2025, based on an appropriate discount rate of 4.43 % per annum (4.96% per annum as at 30 June 2024), the present value of the Club's outstanding contributions (i.e. their future liability) is £188,000 (£312,000 as at 30 June 2024). This amounts to £144,000 (2024: £137,000) due within one year and £44,000 (2024: £175,000) due after more than one year and is included within accruals and deferred income.

Present Value of Defined Benefit Obligation

	2025	2024
	£000	£000
Present Value of Defined Benefit Obligation	**188**	312

25. Contingent liabilities

Excluding items already provided in the Statement of Financial Position, at 30 June 2025 the Company had a liability to pay up to £79,400,000 (2024: £68,000,000) to other clubs in respect of players under contract, dependent upon a number of factors but principally first team appearances.

At 30 June 2025 the Company had contingent sums receivable from other clubs in respect of players sold. Due to the uncertainty of receipt of these contingent assets it is not practicable to disclose the amount likely to be received.

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26. Capital commitments

At 30 June 2025 the Company had capital commitments as follows:

	2025 £000	2024 £000
Contracted for but not provided in these financial statements	**3,434**	1,615

27. Commitments under operating leases

At 30 June 2025 the Company had future minimum lease payments under non-cancellable operating leases as follows:

	2025 £000	2024 £000
Not later than 1 year	**110**	73
Later than 1 year and not later than 5 years	**295**	14
Total	**405**	87

28. Related party transactions

Management charges of £107,000 (2024: £108,000) were issued during the period by MALI International AG to St Mary's Football Group Ltd and all transactions were conducted on an arm's length basis, on normal trading terms. St Mary's Football Group Ltd also incurred expenses on behalf of MALI International AG, in the ordinary course of business, at a cost of £17,000 (2024: £14,000) and expenses on behalf of Katharina Liebherr, a common shareholder, of £2,000 (2024: £2,000). The two parties are related by influence of the common shareholder. The amount owed to MALI International AG by St Mary's Football Group Ltd at the reporting date was £2,000 (30 June 2024 owed to SFC: £3,000). The amount owed by Katharina Liebherr to St Mary's Football Group Ltd at the reporting date was £2,000 (30 June 2024: £1,000). These amounts all relate to trading balances.

Management charges of £850,000 (2024: £850,000) were issued during the period by Sport Republic Holding Limited to St Mary's Football Group Ltd and all transactions were conducted on an arm's length basis, on normal trading terms. Sport Republic Holding Ltd owns 100% of Sport Republic UK Ltd, which itself is the majority shareholder of St Mary's Football Group Ltd. During the period Southampton Football Club incurred expenses on behalf of Sport Republic Holding Ltd at a cost of £6,000 (2024: £234,000) and Sport Republic Holding Ltd incurred expenses on behalf of Southampton Football Club at a cost of £1,091,000 (2024: £953,000). The net amount owed by Southampton Football Club to Sport Republic Holding Ltd at the reporting date was £97,000 (2024: £276,000). These amounts all relate to trading balances.

Additionally, during the period St Mary's Football Group Ltd incurred expenses on behalf of Dragan Solak (St Mary's Football Group Ltd's ultimate controlling party) of £264,000 (2024: £133,000). The net amount owed by Dragan Solak to St Mary's Football Group Ltd at the reporting date was £nil (2024: £131,000). These amounts all relate to trading balances, all recharged to the related party.

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28. Related party transactions (continued)

During the period St Mary's Football Group Ltd incurred expenses on behalf of Goztepe SK in the ordinary course of business at a cost of £527,000 (2024: £1,000). The amount owed by Goztepe SK to St Mary's Football Group Ltd at the reporting date was £271,000 (2024: £1,000). Goztepe SK also charged the Club a development fee during the year for a total amount of £Nil (2024: £343,000). The amount owed by the Club to Goztepe SK at the reporting date was £Nil (2024: £Nil).

During the period St Mary's Football Group Ltd incurred expenses on behalf of Valenciennes FC in the ordinary course of business at a cost of £273,000 (2024: £16,000). The amount owed by Valenciennes FC to St Mary's Football Group Ltd at the reporting date was £61,000 (2024: £16,000).

During the period, Southampton Football Club made donations to Saints Foundation of £208,000 (2024: £219,000). The amount owed by Southampton Football Club to Saints Foundation at the reporting date was £114,000 (30 June 2024: £9,000). Saints Foundation is related through common directorship.

Key management personnel include all directors and a number of senior managers across the company who together have authority and responsibility for planning, directing and controlling the activities of the company. The total compensation paid to key management personnel for services provided to the company was £4,159,000 (2024: £5,535,000).

The Company has taken the exemption available in Section 33.1A of FRS 102 not to disclose transactions with other wholly owned Companies within the Group.

29. Ultimate parent company and parent undertaking of larger group

The smallest group in which the results of the Company are consolidated is that headed by St Mary's Football Group Limited, incorporated in Great Britain. The consolidated accounts of this company are available to the public and may be obtained from Companies House, Crown Way, Cardiff, CF14 3UZ.

The largest group in which the results of the Company are consolidated is that headed by Sport Republic Holding Ltd, which is incorporated in Great Britain. The consolidated accounts of this company are available to the public and may be obtained from Companies House, Crown Way, Cardiff, CF14 3UZ.

The directors consider the ultimate controlling party at the Statement of Financial Position date to be Mr D Solak.

30. Post Statement of Financial Position events

Since the Statement of Financial Position date, the Club has entered into sale and purchase agreements for players with net transactions amounting to £54,000,000 receivable (2024: £46,800,000 payable).